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All the topics of this UPSC IAS Edition are directly or indirectly important for the prelims & main examination.

There are some topics which can be coded in answer writing of other topics in the main exam.

New bilateral investment model: 2-yr local remedy window, no MFN clause

Aanchal Magazine
& Siddharth Upasani
New Delhi, June 8

A MINIMUM two-year period for local remedies before initiation of international arbitration; no most-favoured nation clause; and, an exclusion of tax-related provisions.

These are the three key principles on which the Centre is remodelling its Bilateral Investment Treaties (BITs) with countries, *The Indian Express*

has learnt.

Amid the recent debate on various issues with the BIT model, the Centre is considering tailoring them according to engagement with other countries, with even a one-year cooling window for local remedies being considered for a few countries amid ongoing negotiations, a top Government source told this newspaper.

"We have to protect the sovereignty of our country, the

»CONTINUED ON PAGE 2

STOP SHOOTING, SAYS TRUMP



Smoke rises near the Mahshahr petrochemical complex after an Israeli attack in Iran's Khuzestan province on Monday. REUTERS

Israel and Iran trade strikes, pause, but warn of more attacks

US hits oil tanker, 24 Indian crew members rescued

Jon Gambrell
& Melanie Lidman
Dubai, June 8

ISRAEL AND Iran appeared to back away from further strikes Monday, hours after they traded fire for the first time since the US agreed to a ceasefire with Tehran two months ago. Both countries warned that they were ready to launch retaliatory attacks if provoked.

The renewed hostilities raised concerns that the Middle East could be plunged back into a full-scale war.

Since the US and Israel

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INDIA CALLS FOR DE-ESCALATION, ISSUES TRAVEL ADVISORY

began striking Iran on February 28, the war has shaken the global economy, driven energy prices up around the world and made many basics, including food, more expensive. Officials have been unable to turn the April ceasefire into a deal to permanently end the conflict.

The new attacks prompted US President Donald Trump to call for an immediate stop to fighting between Israel and Iran. "Israel and Iran must immediately stop 'shooting'," he wrote

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New BIT model

powers of our Parliament. So, local remedies cannot be done away with by heading straight-away to international arbitration. That’s why we are looking at a minimum two-year timeline for local remedies within India’s legal system. Also, the ongoing discussions are leaning towards no clause for ratcheting or most-favoured nation in the investment pacts. Taxation will also be kept separate from the investment pacts,” the source said.

BITs are crucial for promotion and protection of investors as they pour money into each other’s countries. At present, the government follows the BIT model approved in December 2015 and adopted in January 2016, which mandates exhaustion of domestic remedies prior to the initiation of international arbitration proceedings.

Asked if the local remedies clause, which did not exist in the country’s pre-2016 BIT model, creates a hurdle for investors, the source said India has pushed for dedicated commercial courts — and that route has to be explored before international arbitration, which doesn’t have fair representation from all countries and can lead to discretionary decisions.

The changes in the erstwhile 1993 BIT were also prompted by several international arbitration proceedings by global majors such as Vodafone and Cairn against the Government in different tax disputes. The Budget for 2025-26 had announced the revamping of the 2016 model to make it more investor-friendly and attract sustained foreign investment.

In February 2025, speaking at the International Commercial & Investment Treaty Arbitration in Delhi, Union Finance Minister Nirmala Sitharaman said that BIT should be handled separately and negotiated standalone from the free trade agreements by specialists with expertise in elements of policy making such as taxation.

Sitharaman had underlined that before taking up international arbitration, enough time should be given to the contesting parties to go through the available local remedies because that is important for the host country.

On May 21 this year, senior economist Surjit Bhalla in his column for *The Indian Express* wrote that the “most damaging provision” in India’s BIT was the requirement that “foreign investors exhaust local remedies for five years before accessing international arbitration”.

“Finance Minister Nirmala Sitharaman announced in Parliament in February 2025 that the BIT framework would be reviewed and a new version released. The reform release is still awaited. Speculation is that the fundamental architecture has not changed — except that the five-year waiting period has been shortened to ‘just’ three years. And the requirement to exhaust Indian courts first — the

defining departure from pre-2015 BIT norms — is likely being retained,” he wrote.

Chief Economic Advisor V Anantha Nageswaran had replied to Bhalla’s piece with a column of his own on May 23 in this newspaper, stating that academic record has found weak or no effects of BITs on FDI inflows. “...a study examining India — Singh, Shreeti, and Urdhwarreshe (2022), published in the Indian Economic Review — found that individual BIT signings do not influence FDI inflows; what matters is the cumulative stock of treaties, which signals an overall regime of investor protection,” the CEA had stated.

He also noted that the investment climate requires continuous improvement, and the BIT framework revision is incomplete.

Bhalla wrote again on June 2, comparing the situation with Indonesia’s decision to scrap its existing BITs in 2014 and restarting with a new model. He mentioned Indonesia having won cases against foreign mining companies and signing two new BITs, one of them with Singapore: a cooling-off period of just 12 months, followed by a three-judge panel and a presiding judge agreed upon by both, who must not be a national of either country.

“In contrast to Indonesia’s requirement of a 12-month cooling period, the Indian BIT required 60 months. Sixty months in Indian courts before any international arbitration could begin. This was not a reform — it was retrenchment,” Bhalla wrote.

Officials said many countries like Australia have moved away from the traditional model of arbitration of Investor-State Dispute Settlement (ISDS). For instance, in the Australia-UAE investment treaty the countries moved to the dispute settlement mechanism of State-to-State Dispute Settlement (SSDS) instead of ISDS.

Before the 2016 model, India had signed bilateral investment treaties with 83 countries based on the model BIT of 1993, and as amended in 2003. Out of these, 74 were ratified. Among these 74 bilateral investment treaties, notice of termination was issued to 68 countries with request to renegotiate based on the 2016 model, according to Government data shared in Parliament in March 2023.

Since the revised 2016 model, India has signed BITs with Belarus, Kyrgyz Republic, Investment Cooperation and Facilitation Treaty (ICFT) with Brazil, UAE and Uzbekistan, a Lok Sabha reply from April 2025 showed. In the BIT with the UAE, the window for exhaustion of local remedies was reduced to three years from five years. A Bilateral Investment Agreement has also been signed between India Taipei Association and Taipei Economic and Cultural Centre, it said.

Israel, Iran

online.

Soon after, the Iranian military’s joint command issued a statement that said it was halting offensive strikes. The statement said further “aggression and hostile acts” by Israel and its supporters, including in southern Lebanon, would be met with “much more severe and crushing measures than before.”

Israeli Prime Minister Benjamin Netanyahu, speaking in a videotaped statement, implied that the current round of fighting was over. But he also warned that if Iran “makes the mistake and returns to attacking us, we will respond with force.”

Netanyahu said Israel is continuing to operate in Lebanon against the Iranian-backed militant group Hezbollah, and that Israel “has full right to self-defense, and we will exercise it to the full extent necessary.”

Both countries lifted restrictions they had imposed as safety precautions. The Israeli military said most schools in Israel that closed Monday would reopen. Iran’s official *Mizan* news agency reported that the Islamic Republic had lifted airspace restrictions affecting civilian flights.

During the truce, Iran has maintained its stranglehold on the Strait of Hormuz — a crucial passage for the world’s oil and natural gas whose closure was the primary reason global fuel

prices skyrocketed. Israel has continued to strike Hezbollah, Iran’s ally in Lebanon, and pushed deeper into that country.

The US military continues to impose a blockade on Iranian ports. US Central Command said its forces on Monday fired on and disabled a Palau-flagged oil tanker, the MT Marivex, in the Gulf of Oman after the ship attempted to breach the blockade.

Officials in India said the tanker’s crew of 24 Indian sailors were all reported safe after a fire broke out on the vessel. It was the seventh commercial vessel the US military has disabled to enforce its blockade, which began in mid-April.

Iran launched waves of at-

tacks on Israel on Monday, and Israel launched strikes on central and western Iran.

The semiofficial *Fars* and *Mehr* news agencies said Israeli strikes hit a petrochemical factory in the city of Mahshahr. They did not elaborate on any damage.

Israel said its strikes were in response to an Iranian missile attack. Tehran warned Sunday that it would retaliate after Israel struck Beirut’s southern suburbs without warning. When Israel struck back, Iran fired again.

Explosions could be heard in central Israel as air defenses sought to intercept incoming Iranian fire. Iran’s paramilitary Revolutionary Guard said it had targeted two military bases in Israel. AP

‘Great Nicobar project will serve strategic interests, emerge as maritime focal point’

Express News Service
New Delhi, June 8

THE RS 81,000-crore Great Nicobar Islands (GNI) project will serve India's strategic interests and emerge as a maritime and economic focal point due to its proximity to the international maritime routes and Sea Lanes of Communication (SLOCs), top defence sources said on Monday.

The mega infrastructure project, comprising an International Container Transshipment Port (ICTP), a joint-user Greenfield airfield and Naval Air Station, a township and a power plant, has come under question following Congress leader Rahul Gandhi's claim that it is "one of the biggest scams" and "gravest crime" against India's natural and tribal heritage.

Sources said the existing runway of the Indian Navy's INS Baaz, which was recently expanded to 4500ft, will not be expanded to the planned 10,000ft, as it requires significant land reclamation and impacts tribal area, flora and fauna.

Underlining that the GNI development project is a strategically significant national initiative, designed to safeguard India's maritime interest, the sources said the suggestion that the country's strategic requirements in Great Nicobar can be met merely by expanding existing defence assets "reflects incomplete understanding of the project and the nature of maritime power in the Indo-Pacific".

The sources said the Joint User Greenfield and Naval Air Station at GNI also enhances the

The mega infra project has come under question following Rahul Gandhi's claim that it is "one of the biggest scams"

ability to sustain the presence, move assets, support operations, monitor sea lanes, respond to crises and maintain logistics in a forward location, adding that this strategic location accrues great advantages vis-a-vis range of operations and presence in this strategic region and enhances domain awareness, which cannot be provided by other bases even in Andaman and Nicobar Islands.

They also said the majority of India's transshipped containers are handled abroad (Colombo, Singapore, Klang) and Vizhinjam in Kerala is the sole domestic transshipment port, adding that Galathea in Greater Nicobar reduces this dependency.

The sources said the project is dual-use by design, not commercial activity disguised as strategy. "A deep-water port providing naval logistics support is the established model for maritime nations. The strategic value lies in the civil-military integration that a standalone airfield cannot replicate," they said.

According to the sources, the project shall reduce dependence on foreign transshipment ports on one hand and facilitate a stronger presence of India's defence forces on the other.

FULL REPORT ON
WWW.INDIANEXPRESS.COM

‘PAK HAS AROUND 170 N-WARHEADS’

Report: India likely to have expanded nuclear stockpile to 190 in 2025

Amrita Nayak Dutta
New Delhi, June 8

INDIA IS believed to have slightly expanded its nuclear stockpile in 2025 and continued developing new types of nuclear delivery systems, while Pakistan's focus has been on new delivery systems and accumulation of fissile material in 2025, according to a new report released by the Stockholm International Peace Research Institute (SIPRI) on Monday.

According to the report, at the start of 2026, nine countries — the United States, Russia, the United Kingdom, France, China, India, Pakistan, North Korea and Israel — together possessed approximately 12,187 nuclear weapons, of which 9,745 were in military stockpiles and considered potentially operationally available. "Nearly all of these warheads belonged to Russia or the USA, and to a lesser extent France and the UK, but China and India may now occasionally deploy a small number of warheads mounted on missiles during peacetime," it said.

The report further stated that India has deployed 12 nuclear warheads at present, and the country's total nuclear stockpile is estimated at around 190 warheads as of January 2026, up from 180 a year ago. "It has long been assumed that India stores its nuclear warheads separately from its deployed launchers during peacetime. However, the country's recent moves towards placing missiles in canisters and conducting sea-based deterrence patrols suggest that India could be shifting in the direction of mating some of its warheads with their launchers in peacetime," it said.

"Based on this assessment, SIPRI estimates that, as of January 2026, India may have started to deploy a small number of nuclear warheads on a single SSBN conducting occasional deterrence patrols," the report noted.

About Pakistan, the report said its nuclear warhead stockpile is thought to have remained stable at around 170 warheads as of January 2026, although it continued to develop its nascent nuclear triad during 2025.

EXIT COUNTRY BY ANY AVAILABLE MODE OF TRANSPORT, EMBASSY TELLS INDIANS IN IRAN

Amid fresh strikes in West Asia, India calls for quick de-escalation, dialogue

Shubhajit Roy & Divya A
New Delhi, June 8

WITH THE almost two-month fragile ceasefire disrupted by exchange of fresh strikes between Israel and Iran, India expressed concern at the renewed attacks in West Asia and called for immediate de-escalation, ensuring civilians stay unharmed and talks to find a diplomatic solution.

New Delhi's statement was cautious and carefully phrased since Israel, a close strategic partner, broke the ceasefire as it launched attacks on Lebanon, despite US President Donald Trump's warnings otherwise.

The Ministry of External Affairs statement was headlined "Developments in West Asia" — a benign description of what's really happening on-ground. It said, "India deeply regrets the renewed attacks in West Asia. These developments are a matter of utmost concern to the international community." It did not specifically say who targeted whom.

Iran and Israel signaled on Monday that they were ready to wind down the military escalation that briefly shattered a fragile two-month cease-fire and brought West Asia back to the precipice of full-blown war.

The Indian statement also made a case for an end to the war — which has impacted India with rising fuel and commodity prices with the near-closure of the Strait of Hormuz.

MEA said, "This conflict has now lasted over 100 days and has already caused immense human suffering. It has also had a debilitating impact on the global economy and energy supplies."

The Indian statement made three appeals: "We call on all parties to immediately de-escalate tensions, ensure that civilians are not harmed and conclude ongoing negotiations for a diplomatic solution so that peace and stability can return to the region."

As the death toll of Indians crossed double digits — 10 civilians killed since the war

E. EXPLAINED

Navigating turbulence

While keeping Indian nationals safe has been a priority for the government, it also faces the diplomatic challenge of keeping communication lines open with all sides — Israel, Iran and the US. This has been a major diplomatic task as Delhi continues to navigate the turbulence in the region and protect its interests.

began on February 28 — Delhi yet again articulated its concern for the lives of innocent civilians. There are about one crore (10 million) Indians in West Asia and the conflict poses a threat to their lives and livelihoods.

The advisories are not new, but the timing suggests that Delhi is worried about their

well-being.

The Narendra Modi government had evacuated more than 2,400 Indians from Iran in the first two months of the war. In late April, the Indian Embassy in Tehran had reported that it facilitated movement of Indian nationals through Armenia and Azerbaijan for onward travel to India. It had said that 2,423 Indian nationals, including 1,091 students and 657 fishermen, have moved out of Iran into Armenia and Azerbaijan.

The Indian Embassy in Iran, which has issued at least seven such advisories in the past few months, posted on X: "In view of the latest developments in the region, the Embassy reiterates its earlier advice to all Indian Nationals to avoid any travel to Iran." It also advised the Indians presently in Iran to exit the country by any available mode of transport.

An estimated 6,000 Indians, including students, are in Iran currently.

In Tel Aviv, the Indian Em-

bassy strongly advised Indians to strictly adhere to safety guidelines and instructions issued by the Israeli authorities. "In view of the prevailing security situation in the region, all Indian nationals in Israel are advised to exercise utmost caution and remain vigilant at all times," it said.

The Indian nationals in Israel have also been advised to "remain in proximity to designated shelters" and "to familiarise themselves with the nearest protected spaces in their area of residence or work."

"Indian nationals are advised to avoid all non-essential and unnecessary travel within Israel until further notice. Citizens are encouraged to monitor local news, official announcements, and emergency alerts regularly," it said.

Around 40,000 Indians are said to be in Israel presently. "The Embassy remains closely engaged with the relevant authorities and will continue to issue updates as necessary," the Indian mission in Tel Aviv said.

The Editorial Page

TUESDAY, JUNE 9, 2026

Fifteen FTAs, 27 countries, four challenges

WITH THE India-Oman agreement taking effect on June 1, India now has 15 FTAs covering 27 countries. Another nine agreements with 42 countries are nearing completion. Once finalised, India's FTA partners will total 69 countries and could account for nearly 75 per cent of the country's exports.

As India expands its network of FTAs, four recurring challenges demand attention: Rising trade deficits, low utilisation of FTA benefits by Indian exporters, worsening inverted duty structures, and the relocation of manufacturing to FTA partner countries.

Let's examine how these challenges are shaping India's trade patterns, industrial competitiveness, and economic outcomes.

First, a rising trade deficit. Between 2007-09 (before the FTAs took effect) and 202-25, India's trade deficit with ASEAN grew by 381 per cent, that with Japan by 318 per cent and that with South Korea by 268 per cent. In comparison, its trade deficit with the rest of the world increased by 142 per cent. Over the past three years, India's average annual trade deficit with ASEAN, Japan and South Korea has reached about \$62 billion.

The newer FTAs are also associated with large trade deficits. In FY2025, India exported \$48.6 billion to the UAE, Australia, Mauritius and EFTA countries, but imported nearly \$100 billion, resulting in a trade deficit of over \$50 billion. As tariff cuts under these agreements deepen, the deficit may increase further. South Asia remains the major exception, where India's trade surplus expanded from \$6.7 billion to \$20 billion during the same period.

The difference between India's tariff structure and those of its FTA partners helps explain why imports often grow faster than exports after FTAs. Most of its FTA partners are already open economies with low tariffs. Average MFN tariffs are close to zero in Sin-

gapore and below 4 per cent in Japan, Australia, Malaysia and the UAE. In contrast, India's trade-weighted MFN tariff is about 12.6 per cent, with rates ranging from zero to 150 per cent. As a result, when India cuts tariffs under an FTA, exporters from partner countries gain a significant price advantage in the Indian market. A 50 per cent tariff reduction, for example, can translate into a major cost advantage over competing suppliers. Indian exporters, however, often gain little additional market access because tariffs in partner countries were already low or zero before the agreement.

The difference becomes even clearer when actual trade flows are examined. Almost all imports into Singapore enter duty-free under MFN rules, while more than 80 per cent do so in Japan and Malaysia. In the EU and the UK, more than half of imports face zero customs duty. In India, however, only about 6 per cent of imports enter duty-free under MFN treatment. As a result, FTAs often give foreign exporters a much bigger advantage in the Indian market than Indian exporters receive abroad.

Second, low utilisation of FTA benefits. The same tariff asymmetry also helps explain why Indian exporters make limited use of FTAs. When MFN tariffs in partner countries are already zero, there is little benefit in exporting under an FTA. Even where MFN tariffs are low — say 1 to 3 per cent — the savings are often too small to justify the costs of complying with rules of origin, certification requirements, and paperwork. As a result, only an estimated 20-30 per cent of India's eligible exports take advantage of FTA preferences. Many small firms prefer to avoid the compliance burden for modest tariff savings.

The incentives are very different for exporters selling to India. Since India's MFN tariffs remain



AJAY SRIVASTAVA

relatively high, tariff reductions under FTAs can generate substantial savings. As a result, import-side utilisation rates are estimated at 60-70 per cent. Thus, rising imports and low export-side utilisation are not separate issues. Both stem from the same tariff asymmetry between India and its FTA partners.

Third, worsening inverted duty structures. An inverted duty structure arises when duties on raw materials and industrial inputs are higher than those on finished products. While this problem has existed for years, FTAs have made it harder to fix because many finished goods now enter India at low or zero duty from partners such as ASEAN, Japan, South Korea, the UAE and Australia. As a result, Indian manufacturers often pay high duties on imported inputs, especially those sourced from non-FTA countries, while competing against finished products imported duty-free under FTAs.

For example, steel and aluminium attract MFN duties of 7.5-10 per cent, but machinery, industrial equipment and engineering products made from these materials can enter India duty-free under several FTAs. Indian manufacturers, therefore, face higher input costs when competing with tariff-free imported machinery produced with globally priced inputs.

Similar distortions exist in chemicals, plastics, rubber and textiles. Duties on inputs such as caustic soda, soda ash, polypropylene, PVC and SBR raise production costs. At the same time, many finished products in these sectors can be imported at low or zero duty. The result is a tariff structure that protects producers of basic materials but disadvantages downstream manufacturing, making it harder to achieve higher domestic value addition and the goals of Make in India.

Fourth, make in ASEAN, sell in

India. An equally significant consequence of FTAs and resulting inverted duty structures is the growing incentive for firms to manufacture outside India rather than within it. When raw materials and components attract duties in India, but finished products can be imported duty-free from FTA partners, companies may find it more profitable to locate production abroad and export back to the Indian market. In such cases, FTAs effectively encourage offshore manufacturing at the expense of domestic value addition.

ASEAN countries are increasingly becoming manufacturing hubs for supplying the Indian market. Chinese companies have invested heavily in countries such as Vietnam, Thailand and Indonesia. At the same time, some Indian firms have also set up factories and joint ventures there to benefit from lower production costs and duty-free access to India under FTAs. Similar trends can be seen in electronics, steel, chemicals, plastics, consumer goods and engineering products.

When it becomes cheaper to manufacture in an ASEAN country and export duty-free to India than to produce in India, investment and jobs tend to move abroad. As a result, FTAs can encourage firms to "Make in ASEAN, Sell in India" rather than "Make in India".

Unless India's tariffs on industrial inputs are better aligned with its FTA commitments, these agreements may encourage firms to produce abroad rather than in India, weakening domestic manufacturing and supply chains.

The government and industry must work together to address these four challenges so that FTAs strengthen India's manufacturing base instead of encouraging higher imports, overseas production, and loss of industrial capacity.

The writer is founder, GTRI

After 100 days of conflict, a backsliding

ONE HUNDRED days into the West Asia conflict, Iran and Israel have exchanged fire for the first time since a fragile ceasefire took effect on April 8. The escalation was hardly unexpected. Tehran has long insisted that any ceasefire must include an end to Israel's bombing campaign in Lebanon. That is something Donald Trump has also pursued publicly, and evidently unsuccessfully. The latest flare-up began after Iran fired ballistic missiles at northern Israel on Sunday in retaliation for Israeli strikes on southern Beirut. Israel responded with attacks on targets in central and western Iran. The renewed hostilities threaten to unravel the progress that had been made in the US-Iran talks, further narrowing the limited space for diplomacy that had opened up over the past two months.

The US President, who has demanded that Iran and Israel "immediately stop shooting", finds himself trapped between a recalcitrant rival and an intransigent ally. Iran sees its control of the Strait of Hormuz as a source of leverage to extract concessions, while Israel remains unwilling to compromise on the Hezbollah threat. Domestic political considerations further complicate matters: In all three countries, two of which face critical elections in the coming months, any compromise risks being portrayed as capitulation at home. Even as a section of public opinion in the US has turned sharply against Israel, the political establishment remains committed to supporting it unconditionally. Trump cannot afford to be seen as abandoning Israel, but he must also contend with the prospect of higher energy prices and supply-chain disruptions. Netanyahu, meanwhile, depends for his political survival on his hard-right coalition — after Iran's offensive, one minister declared that "Tehran must burn". How Trump balances these competing forces will determine when the shooting stops and diplomacy gets another chance.

Even before the return to kinetic action, the US and Iran remained far apart on a deal because their core demands — on nuclear weapons, sanctions, regional proxies and frozen assets — have been fundamentally irreconcilable. Deep mutual distrust, compounded by the absence of meaningful direct contact between Tehran and Washington since the Islamabad meeting in April, means that even if Trump succeeds in securing a de-escalation, the region is likely to remain trapped in a state of no-war, no-peace, with continuing consequences for the world economy. For India, a second increase in domestic LPG prices in three months, as oil companies continue to grapple with surging energy costs, is a reminder that the conflict in West Asia is not a distant one.

In law, need to write a new marriage story

THE SUPREME Court saying that keeping alive a marriage which is "already decayed and is decomposing day by day" serves neither the couple nor society is an important intervention in what is often one of the most bitter and wearying legal processes. The two-judge bench that was ruling on the case of a couple that has been living separately for 15 years said that asking them to live together after they've been estranged for so long would amount to "cruelty to both the parties". In thus framing the issue, the Court has underlined the need for a more nuanced approach to the complex issue of marital breakdown.

While the laws in their present form offer two paths to legal separation — mutual consent (no-fault) and contested (fault-based) — the Supreme Court has periodically used its extraordinary powers under Article 142 (1) to widen the framework of divorce and bring in the concept of "irretrievable breakdown of marriage" (IBM). In 2006, while ruling on *Naveen Kohli vs Neetu Kohli*, it urged the government to "seriously consider bringing an amendment in the Hindu Marriage Act, 1955 to incorporate irretrievable breakdown of marriage as a ground for the grant of divorce". The concerns animating the Court cannot be dismissed: A protracted legal battle can take a toll on the mental, physical, and emotional well-being of the parties involved. The financial implications, too, are often serious. As the Court has rightly said, to prolong an estranged couple's agony because their case does not meet the criteria laid out in the law amounts to "perpetuity of marriage on paper".

The judgment serves as a reminder to both the government and Parliament that reform is long overdue. In its 2009 report, the Law Commission recommended the inclusion of IBM, and subsequently, there were two attempts at legislative reform via the Marriage Laws (Amendment) Bills of 2010 and 2013, both of which lapsed. At the same time, reform cannot overlook the realities of a deeply patriarchal society where women often enter divorce proceedings from a position of social and economic disadvantage. Protecting their interests, especially on the questions of property rights, custody, maintenance and residential rights, is paramount. Reform is necessary, but it should not become another instrument for perpetuating inequality.



LAVEESH BHANDARI

EVs, in fact, reduce India's global vulnerabilities, whereas fossil fuel vehicles increase them. Why? Because batteries and magnets are not consumables, even if their imports stop, EVs already on the road will continue to operate

POLLUTION KILLS. It is harmful to India's reputation as a dynamic, forward-looking society, and, where vehicular pollution is concerned, the better-off pollute more, whereas the worse-off suffer more. The auto industry has historically tended to oppose policies aimed at reducing fossil-fuel vehicles due to fears of revenue losses and the cost burden of moving to new technologies. Fear of new competitors with a technological advantage may be another factor.

Such challenges will remain whether we switch now or 10 years later, and policymakers must ask: How long should the government wait? It is now time for the government to institute a comprehensive policy for a move towards electric vehicles (EVs) for both two- and four-wheelers by 2028. And in parallel, implement a plan to install the required charging points in parking lots, petrol pumps, and public spaces across the country.

The belief that such a policy will make India dependent on China is deeply flawed. First, India is a large two- and three-wheeler market. But Delhi, where EV sales are being mandated, accounts for less than 4 per cent of the national market, and therefore, the changeover will cause minimal damage to the two-wheeler economy.

Second, EVs, in fact, reduce India's global vulnerabilities, whereas fossil-fuel vehicles increase them. Why? Because batteries and magnets are not consumables, even if their imports stop, EVs already on the road will continue to operate; this is not the case with fossil-fuel-driven vehicles.

Third, India has a mechanism for keeping petroleum stockpiles, and it can do the same for rare earths or critical minerals. Indeed, India's National Critical Mineral Mission envisages precisely this. The Indian government highlighted in the 2026-27 budget its efforts to enhance access to critical minerals and rare earths. These efforts will need domestic demand to succeed.

Yet another concern is the potential loss of jobs associated with the repair and maintenance of fossil-fuel-driven vehicles. Here as well, the government is proposing to

stop the registration of new vehicles after 2028. All the older vehicles will continue to need the services of such mechanics. Moreover, new EVs will also create jobs for other services. Remember the concerns that accompanied computerisation in banking?

It is also sometimes argued that EVs, despite government subsidies, are more expensive and therefore delivery workers, own-account workers and others dependent on two- and three-wheelers will end up paying more. To the contrary, analysis conducted at CSEP has shown that the lifetime costs of electric two-wheelers are significantly lower than their petrol counterparts, and in fact, these workers will gain from the switch to EVs. The higher purchase cost, if a real concern, can be addressed through slight tweaks to the government's collateral-free credit programs. The gig-work economy has already embraced electric two-wheelers.

Any policy change results in a diverse set of winners and losers. But imaginative and cooperative actions can create win-win solutions. The Indian automobile sector includes some of the most respected firms in India. And these firms can and must come up with a forward-looking and solution-oriented plan.

They will no doubt face stranded assets as production lines shift from internal combustion engine vehicles to electric vehicles. For this, they could ask the government for accelerated depreciation. Dependence on China is a concern, and the industry needs to ramp up R&D spending for that.

The industry could also work with the government on interim stockpiling solutions. It should be proposing innovative ideas for ramping up charging facilities; bringing utility companies into the conversation would help, since they would be a major gainer. Reuse and recycling of batteries is another challenge area, and here as well, there are many ways in which the industry can use its extensive networks to support the government's efforts.

India needs to change, but this would be best achieved when industry and government are able to create a collaborative and socially oriented relationship.

Bhandari heads CSEP. Views are personal

The Ideas Page

TUESDAY, JUNE 9, 2026

US-India special relationship is now cold-eyed transactionalism



KANTI BAJPAI

US SECRETARY of State Marco Rubio's recent visit to India, Secretary of War Peter Hegseth's speech at the Shangri-La Dialogue that briefly referenced India, and US Ambassador to India Sergio Gorr's energetic diplomacy have raised a central question: What does India want from the US, and what does the US want from India? The answer is that India's wants have remained stable. America's have changed. As a result, the special relationship with the US is over. Looking ahead, the India-US agenda will be far more modest and transactional.

For 30 years, India looked to the US for strategic balance against China, for cooperation against terrorism, for its market and investments, for the "export" of skilled Indian professionals, and for military equipment. Broadly, the US would help make India more secure and powerful.

US interest in India was a mirror image. India was a balance against China, a partner against terrorism, a market for exports and a destination for investments, a source of human talent, and a client for American arms. India was not seen as an ally but instead would be strengthened as a "strategic partner" in Asia.

The special relationship has withered because America has changed its view of India. The economic wants are much the same — India as a destination for US products (now including energy), investments, and arms. Against this, American worries about immigration have overridden the demand for talented Indians. More importantly, cooperating with India against terrorism, and crucially, partnering with it in Asia, have diminished in importance.

To appreciate the US's changed strategic outlook towards India, we must

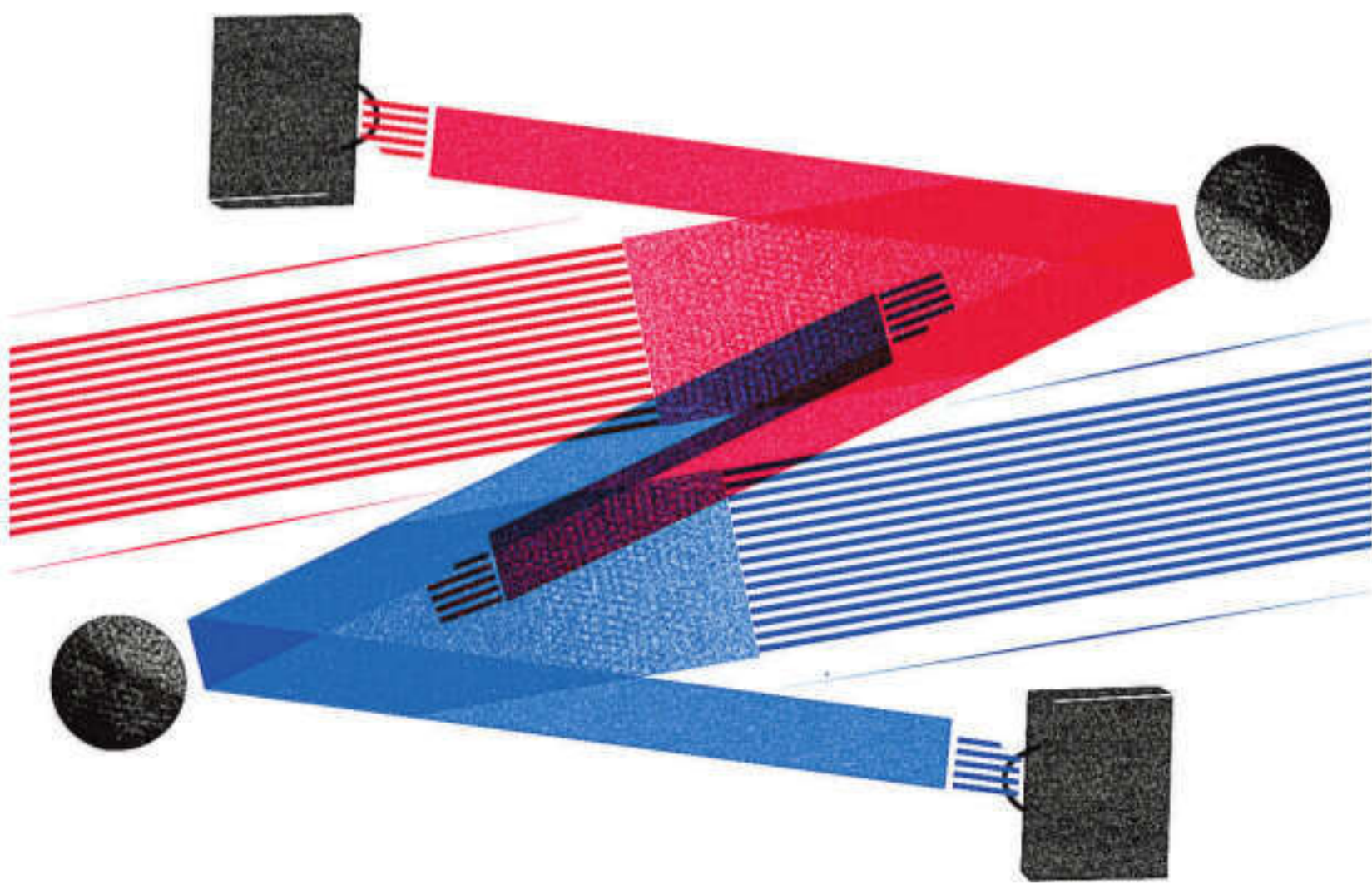


ILLUSTRATION: C R SASIKUMAR

understand its geopolitical view of Eurasia — from Europe, at one end of the supercontinent, to Japan, at the other end. Over the last 30 years (indeed, going back earlier), America has wanted to contain three challenges in Eurasia: Russia in Europe; Islamic radicalism in the energy-rich Gulf, and China in Asia.

For the US, India potentially had a role in all three theatres. With its close Russia relationship, it might act as a diplomatic brake against Russian adventurism in Europe. Given its proximity to the Gulf, its energy dependence on the oil powers, and its military power, it might be a force for stability in the region. And given Delhi's quarrel with Beijing, its growing economic strength, and its naval forces, it was a putative balancer against rapidly rising Chinese power in Asia.

The war in Ukraine demonstrated to the US that India would be no brake on Russia. Indeed, with its neutrality in the conflict and its purchases of Russian oil,

it seemed to play the opposite role even if that was not New Delhi's intention. In the Gulf, India embarked on a larger strategic role, particularly in the past 10 years. Prime Minister Narendra Modi built deeper diplomatic, economic, energy, and even defence ties with the Gulf including Saudi Arabia, and was positioning India as a security provider.

However, when the US's war with Iran moved towards termination and a deal had to be struck on Iran's enriched uranium and the reopening of the Strait of Hormuz, the Trump administration saw Pakistan and not India as the intermediary.

Pakistani influence with the Iranians and with the Saudis (culminating in the defence agreement of September 2025) was a key asset for Pakistan. Its military power, its long-held relationship with the US defence establishment, and even its closeness to China were additional factors in the turn to Pakistan.

The third Eurasian theatre is centred around China. The US

had hoped that India would begin to catch up with China and play a larger balancing role against it. But despite India's economic growth of roughly 6-7 per cent per annum over 30 years and China's economic slowdown, the absolute GDP gap between the two countries was growing, not reducing.

In addition, in the Indo-Pacific, India's contributions were uncertain. India had underlined that it was averse to a common front against China in the Quad. Australia, Japan, and the US, therefore, gradually thickened strategic ties amongst themselves and with Korea and the Philippines. In addition, India's military was not geared to project force into the South China Sea and East China Sea in the foreseeable future. At best, in a US-China confrontation, the US-India foundational defence accords such as LEMOA might be triggered, but this was by no means a given.

More fundamentally for India-US ties, under both Joe Biden and Donald Trump, America's China challenge has changed. It is less about Taiwan and the security of Asia against China and more about economic and technological competition in commerce (the trade deficit), chips, computer software (AI), and critical minerals. In the US view, India is not a crucial player in any of these four Cs. It cannot replace China as an exporter to the US (indeed, India is now a trade worry). Nor is it a big player in chips, AI computer software, or critical minerals.

Whether the US is right or wrong in its view, India is no longer seen as a power to be strengthened. It is instead a destination for US products, investments, and arms. Despite Rubio and Gorr's and most recently Hegseth's attempts to inject some spark into the erstwhile special relationship, the future is cold-eyed transactionalism. Opportunities but also stern challenges are ahead of us as the special relationship founders. Indian diplomats will have their hands full.

The writer is visiting professor, International Relations, Ashoka University, and emeritus professor, Lee Kuan Yew School of Public Policy, National University of Singapore

To appreciate the US's changed strategic outlook towards India, we must understand its geopolitical view of Eurasia — from Europe, at one end of the supercontinent, to Japan, at the other end

• GLOBAL

Israel, Iran trade strikes again: The major takeaways

Yashee
New Delhi, June 8

ALMOST TWO months after a Pakistan-brokered ceasefire, Iran and Israel traded direct strikes at each other's territories again, over Sunday night and Monday. For a while, return to full-scale war looked imminent, till Iran announced it was halting its campaign as long as Israel too kept the peace. US President Donald Trump announced on Truth Social that "Both sides, Israel and Iran, are looking to do an immediate CEASEFIRE!". He said "final negotiations" for peace were proceeding, "subject to ignorance or stupidity getting in its way."

What was different was that Iran launched attacks directly on Israel in retaliation for the latter's actions in Lebanon. As multiple conflicts rage — Israeli action in Gaza, Israeli action in Lebanon, and the US-Israel-Iran tussle, with Iran's retaliation covering much of West Asia — what do the events of the past day say about the future of the wars?

Iran entrenches Lebanon position: Iran has always said that any peace deal must include Lebanon too, but the Israeli campaign there continues despite multiple announcements of ceasefires. With the strikes on Sunday night, Iran has made it clear that it is willing to go beyond statements on Lebanon. It has asserted that a one-on-one peace deal with the US is not possible till Washington continues to give Benjamin Netanyahu a free hand in Lebanon.

Trump-Netanyahu divide: A major fallout of the recent events is the question they raise on Trump's ability to get Netanyahu to uphold American commitments. Despite Trump announcing multiple times that he would rein in Israel, including in Lebanon, Netanyahu has continued to escalate.

Both Trump and Netanyahu face elections later this year. For Trump, a prolonged war and its attendant economic consequences are damaging. But for the Israeli leader, stopping the campaign now under pressure from Trump would dent his image domestically.

• ELECTION YEAR

Both Trump and Netanyahu face elections later this year. For Trump, a prolonged war and its attendant economic consequences are damaging. But for the Israeli leader, stopping the campaign now under pressure from Trump would dent his image domestically.

teaches International Relations at the Ankara Yildirim Beyazit University, Türkiye, told *The Indian Express*.

Lebanese govt in uncomfortable position: The events also complicate the position of the Lebanese government, which is holding official peace talks with Israel. Beirut would prefer less influence from Tehran and its proxy Hezbollah on its actions, but the opposite will happen if a ceasefire does come to Lebanon on the point of Iranian guns.

Despite several rounds of talks with Israel, being mediated by the US, the Lebanese government has been unable to stop strikes on its soil.

"The recent Iranian actions complicate negotiations between Israel and Lebanon, but for the mediator US, this is apparently acceptable in the larger geopolitical context. Trump is willing to speak to Hezbollah as well as the Lebanese government for a ceasefire. Hence, today's strikes by Iran cause collateral damage to the autonomy of the Lebanese government," Anil Trigunayat, retired IFS officer who has worked in the Ministry of External Affairs' West Asia Division, told *The Indian Express*.

• POLICY

Sewage in posh Delhi colony taps: How urban water systems fail, what to change



EXPERT EXPLAINS
ARKAJA SINGH

FELLOW AT CENTRE FOR
POLICY RESEARCH, NEW DELHI

IN THE posh South Delhi colony of Gulmohar Park, drinking water pipelines recently delivered sewage-contaminated water. Many residents fell ill and people had to switch to water tankers and bottled water.

Several similar incidents have been reported in other cities. In the Indore case earlier this year, the contamination was linked to several deaths.

From an engineering perspective, the risk of contamination in drinking water pipelines

is almost always present: sewage water can enter through even minor openings, especially when supply is off and the pressure in the pipes is slack. Things get worse when the pipe network is aged and corroded, when pipes are damaged, or when sewage flows and other contaminants enter areas around the pipes.

There are two important policy takeaways from this. One, that the risk of contamination can only be managed, rather than completely eliminated. Second, as the risk is from the close interaction of sewage and drinking water pipes, management requires attention to both.

Governance of drinking water and sewage

Our drinking water supply and sewage disposal systems entail very many neighbourhood-level compromises with engineering protocol.

Engineers consider 24-hour water supply system technically superior to intermittent supply—because pipes remain pressurised

and resistant to contaminants — but this requires more water and expensive upgrades in the infrastructure.

Moreover, the true state of pipes and networks is never fully known. Except in a few 'pilot projects', Indian cities do not have complete digitised maps of water and sewage flows. The field staff of urban agencies might know, by experience, how the supply and drainage infrastructure is organised at the local level, but often, their understanding of local risks is not integrated with institutional decisions and priorities.

The management of sewage is even more complicated and is, at least in part, beyond the direct control and management of any public agency. Even in the most upmarket areas, sewage flows are 'bypassed' from blocked or missing sewer lines to storm water drains and natural water channels. Over half the urban population does not have access to any type of organised sewage line, and relies instead on septic tanks and pits, which generate foul effluent liquids that seem to have no practical solution, except to

flow in open drains and water channels.

Slums, unauthorised colonies and urban villages provide additional layers of complexity: one, because rules prevent urban agencies from extending full-scale water and sewage services here (supposedly to disincentivise the proliferation of such settlements) and two, because their winding, narrow and uneven layouts are difficult to build infrastructure for.

In many cities, many government agencies are responsible for different parts of the same problem, and have limited ability to coordinate at the street-level.

Institutional gaps and challenges

There are national environmental law-mandated standards for what constitutes safe drinking water and sewage discharge, but there are considerable institutional lacunae in how this can be realistically delivered.

The right to safe drinking water is loosely defined as part of the constitutionally mandated right to life, but there no clear rules

about how it is to be secured.

Sewage discharge standards apply to the point of discharge from sewerage treatment plants, but do not prescribe how it is to be managed before it reaches a treatment facility. The regulations for sewerage that is not connected to sewage lines are just as hard to pin down. We need to differentiate between environmental law, by which water quality standards are prescribed for drinking water and sewerage treatment, and institutional rules that structure service delivery and infrastructural activities of urban agencies.

This latter space is thinly developed: there are a number of codes of practice and standards issued by government agencies, but they are not legally enforceable and do not always account for the real-world conditions in which they are to be implemented. Naturally, a one-size fits all protocol might not work, given the variations of conditions across and within cities.

The question of whether water and wastewater are managed by a parastatal agency like the Delhi Jal Board, or by an

elected civic body, like the Brihanmumbai Municipal Corporation, is often raised. But one structure is not necessarily better than the other. Outcomes seem to depend more on the culture of the organisation, and the quality of its leadership, both administrative and political. In practice, state governments also seem to have an important role in providing structure and support to the efforts of their local authorities.

The way forward

Another aspect of the safe water issue is that it cannot be prescribed in one shot, by plan or regulation, but needs rather a structured pathway in which real-time public management improvements can be deployed in sync with administratively issued regulations and notified plans.

There is a large gap between engineering best practice and the situation in our cities, which can only be addressed in a multi-year framework that prioritises the most urgent improvements to human health and environmental outcomes from year to year.

• ENERGY

The boost Centre's solar power schemes need



AMITABH SINHA

INDIA HAS been rapidly scaling up its renewable energy capacity in recent years. This has been led by solar power, which now accounts for close to 30% of India's total installed electricity capacity. The country added more than 50 gigawatts (GW) of solar energy capacity in the last couple of years and, in 2025, added more solar power than any other country in the world except China.

To further expedite the deployment of solar energy, the government has been running two flagship programmes that incentivise the adoption of decentralised solar power generation:

PM Suryaghar Yojana: This targets installation of rooftop solar units on one crore households. It offers every beneficiary free electricity up to 300 units every month, and cash subsidy for equipment.

PM-KUSUM (Pradhan Mantri Kisan Urja Suraksha Evam Utthan Mahabhyan): Aimed at farmers, the scheme helps them set up small solar plants on their unused land, or install grid-connected or standalone solar water pumps for irrigation needs. Farmers can earn additional income by selling solar electricity produced on their land, or save on diesel or power bills on traditional water pumps.

Both schemes, backed by a combined budget of around Rs 95,000 crore, have had their successes, but have performed well below their full potential till now.

Uneven progress

Together, the two programmes have seen installation of about 13 GW of decentralised solar power (as on May 31, 2026) against a target of 40 GW by the end of the current financial year.

PM-KUSUM, launched in 2019, was supposed to achieve its targets by 2022, but was extended till the end of this financial year owing to the pandemic disruption. Its most successful component has been the incentive to farmers to set up standalone, off-grid, solar water pumps. Government

• STATUS OF FLAGSHIP PROGRAMMES



• PM Suryaghar Yojana

Target	Achieved
Connection to 1 crore households	40.52 lakh
30 GW of installed capacity	12 GW

(AS ON MAY 31, 2026). SCHEME RUNS TILL

MARCH 2027 SOURCE: PM SURYAGHAR PORTAL

• PM-KUSUM

Target	Achieved
10 GW of decentralised solar capacity	1.2 GW
14 lakh standalone solar water pumps	10.9 lakh
Solarisation of 2.5 lakh grid pumps	15,000

SOURCE: PM-KUSUM PORTAL

figures show as on May 31, 2026, that more than 10.9 lakh new pumps have been installed against the target of 14 lakh.

But the uneven progress of these programmes across different states is quite revealing, as they have done very well in certain states and extremely poor in others.

Gujarat, Maharashtra, and Kerala have seen significantly higher offtake rates for the PM Suryaghar rooftop solar scheme compared with states such as Tamil Nadu and Karnataka, or even the relatively low energy-access states of Bihar and Jharkhand. The five best performing states — Gujarat, Maharashtra, Uttar Pradesh, Kerala, and Rajasthan — account for nearly 70% of the nearly 33 lakh rooftop installations so far.

What hinders adoption

One of the main reasons for low adoption of these schemes in certain large states is power subsidies. Several state governments offer either free electricity or highly subsidised power to domestic and agricultural consumers. When electricity is already free, or heavily subsidised, people don't have an incentive to spend on upfront installation costs.

Take Punjab, for instance. It already offers 300 units of free electricity to domestic

Demand and supply

The rising electricity demand can only be met by further expansion of solar and other renewables.

Recent peak demands — in April and May this year during the day — were managed largely through solar power.

consumers every month, and completely free power for all agricultural tubewells. Punjab, which spent more than Rs 20,000 crore on power subsidy bills last year, has low adoption rates for both schemes.

The relatively low offtake of PM Suryaghar in Tamil Nadu, Karnataka, and Delhi is also attributed to their subsidy structure. Last year, Karnataka and Tamil Nadu had electricity subsidy bills of Rs 27,000 crore and Rs 15,700 crore, respectively. Gujarat, Kerala, and Maharashtra, on the other hand, have relatively high tariff rates, particularly for high consuming customers.

The Estimates Committee of Parliament flagged this issue in a recent report on the progress of these two schemes. The Ministry of New and Renewable Energy told the committee that one of the primary reasons for low adoption of PM Suryaghar in some states was free electricity already being offered.

The upfront cost of equipment can be a few lakh rupees, which can only be recovered over time through the use of 300 units of free electricity and sale of excess power being produced.

More subsidies

Ironically, the response to this hurdle has

Incentivising households and farmers is crucial to India's clean energy transition. But high upfront costs can be a challenge

been more subsidies. Although states such as UP and Rajasthan offer highly subsidised power, they have still managed to do remarkably well on both schemes, mainly by offering additional financial incentives to facilitate the switch to solar power.

This makes sense, as such incentives are a one-time expenditure as against the unending recurring liability that power subsidies entail.

The Estimates Committee seemed to endorse this. It suggested that the government should explore ways to make it easier for the consumers to pay the upfront costs in the two schemes and avail of the benefits.

The heat link

Decentralised solar power generation is crucial to India's clean energy transition. While power demand is expected to continue to rise substantially in the coming decades, the availability of land for setting up large solar parks is already becoming a problem. Also, electricity coming in from the grid — even if contributed by solar energy — would have to be subsidised for consumers.

That is one politically sensitive issue no government would be able to withdraw from, even though subsidies are becoming increasingly unsustainable. The PM Suryaghar programme, if fully implemented, is estimated to save the government about Rs 75,000 crore every year in electricity costs, according to the Estimates Committee report.

The rising electricity demand can only be met by further expansion of solar, and other renewables. Solar is all set to become India's second-largest source of electricity generation by taking over from hydroelectricity. Although hydropower was the go-to source for meeting the additional demand during summer, large hydropower capacity has stagnated now.

In any case, the increase in power demand has gone so high, it cannot be met with hydropower alone. Recent peak demands — in April and May this year during the day — were managed largely through solar power.

Decentralised solar power gets increasingly relevant in a year like the current one, when the rainfall is expected to be low and temperatures very high, resulting in very high power demands. And this year is not an isolated case: such situations are fast becoming the norm, and decentralisation can help in cushioning the impact.

• CULTURE

Pride Month: Recalling India's first 'Friendship Walk', its impact

Rishika Singh
New Delhi, June 8

JUNE IS marked as Pride Month annually to celebrate the LGBTQ+ community and raise awareness about the challenges they continue to face.

It can be traced back to June 1969, when a police raid at the Stonewall Inn, a popular gathering space for queer people in New York City, saw a pushback against the authorities. This was a landmark moment for the fight for civil rights.

The Pride Parade, which sees queer people and their supporters march, dance and raise slogans, has become one of the most well-known Pride month events. According to the US Library of Congress, "There were three to five thousand marchers at the inaugural Pride in New York City, and today marchers in New York City number in the millions." In India, the "Friendship Walk" of July 2, 1999, held in Kolkata, is seen as a precursor to the Pride Parade.

Inspiration from history

Pawan Dhall, a managing trustee at the Kolkata-based gender and sexuality plat-



A photo from the 'Friendship Walk' in Kolkata on July 2, 1999. LGBT-INDIA

form Varta Trust, was one of the 15 people who participated in the walk. He told *The Indian Express* that the movement was in its early stages, but both English and Bengali media were covering it.

Dhall described 1999 as a "very happening year" for queer Indians, coming soon after the release of Shabana Azmi and Nandita Das-starrer *Fire*, which told the story of a romantic relationship between two women. It drew protests from groups like the Shiv Sena. "Some news articles at the time projected regressive views on homosexuality," Dhall said. In response, the few active LGBTQ+ groups organised events for

dialogue in the face of misinformation.

Eventually, Owais Khan, a convenor of an LGBTQ group, came up with the idea of a "Friendship Walk", inspired not just by the activism since Stonewall but something closer to home — the Dandi March. "I proposed that we talk about bridge-building and friendship, because we are coming out into the public," Dhall said of the name given to the event. It could also be difficult to secure police permission for a full-scale parade. Yellow t-shirts were made, saying "Walk on the Rainbow, Friendship Walk 99."

Relevance today

The group assembled at the Park Circus Maidan and then split into two to visit NGOs and government offices to discuss the community's concerns.

"We pasted some HIV-AIDS stickers in public washrooms, and also visited the Human Rights Commission office. One official was totally surprised because we had reached without an appointment. We left him with copies of queer magazines like *Pravartak* and *Bombay Dost*, Dhall said.

A few major papers did cover the walk at the time, but Dhall said he felt its impact

FII TAX CUTS AIMED AT BLOOMBERG INDEX INCLUSION: GOVT SOURCE

‘Confident of high growth in Q1 despite elevated energy prices’

Siddharth Upasani & Aanchal Magazine
New Delhi, June 8

DESPITE ENERGY prices remaining elevated due to the war in West Asia, the government is confident the economy has continued to perform well in the ongoing April-June quarter, with the high growth seen in January-March spilling over into the new fiscal year that started in April, a senior official told *The Indian Express* on the condition of anonymity.

Further, the tax cuts announced last week for foreign institutional investors' (FIIs) investments in government bonds were squarely aimed at accelerating India's inclusion in the Bloomberg Global Aggregate Bond Index, with the source adding that more steps will continue to be taken to attract foreign inflows. There was no elaboration of the measures that would be taken.

"The feedback that we are getting from industry and banks is that growth from the fourth quarter has continued into April-June and it is reflecting in economic data," the official said. "Be it cement, production of cars, Fast Moving Consumer Goods, and even consumer durables, there is clear indication that growth is

sustaining despite the problems emanating from outside India."

"Even GST collections, the revenue from imports has jumped almost 20%. And this is not because consumer goods are being imported in huge numbers — it is intermediate goods, machinery, inputs that industry uses that are being purchased from abroad," the source added.

Data released last week showed the Indian economy ended 2025-26 on an unexpectedly strong note, with the GDP estimated to have grown 7.8% in January-March on the back of higher growth in investments despite the war overlapping with the final month. For the year as a whole, India's GDP has been estimated to have increased by 7.7%, higher than the statistics ministry's second advance estimate of 7.6%, announced in February.

India's GDP growth in 2024-25 was 7.1%. Moreover, while overall Goods and Services Tax (GST) collections rose only 3% year-on-year in May, that from imports surged 19.1%. Further, industrial growth rose to 4.9%, with manufacturing sector growth at 6.2%.

Meanwhile, the Reserve Bank of India (RBI) on Friday lowered its GDP growth forecast for 2026-27 by 30 basis points

• GROWTH MOMENTUM

LAST WEEK'S data showed the economy ended 2025-26 on an unexpectedly strong note, with GDP estimated to have grown 7.8% in January-March on the back of higher growth in investments

A VARIETY of economic indicators, including automobiles production and GST collections, are indicating to the government high growth has sustained into the April-June quarter

INCLUSION INTO Bloomberg Global Aggregate Bond Index is a



key objective behind last week's decision to remove taxes on FII investment in government debt

(bps) to 6.6%, with the Monetary Policy Committee noting that prolonged global supply chain disruptions, heightened volatility in global financial markets, and weather-related shocks "continue to pose downside risks to the domestic growth outlook".

According to the aforementioned source, the RBI's downward revision to the growth forecast is understandable. "The RBI needs to be conservative, and that's what it has done. And that's OK."

"The government has taken measures to help affected

areas: there is the maritime insurance pool, the ATF Price Stabilisation Fund, and the Budget announced the Economic Stabilisation Fund... We are recognising where the pressures are and acting to ease them."

Bloomberg index inclusion

On Friday, the government and the RBI announced a host of steps to attract foreign capital — from the scrapping of capital gains and withholding tax on FII investment in government debt to concessional windows to boost foreign currency deposits

DOWN FROM \$13.7 BILLION A YEAR AGO

India's current account surplus narrows to \$7.1 billion in Q4

ENS Economic Bureau
Mumbai, June 8

INDIA'S CURRENT account surplus narrowed sharply to \$7.1 billion, or 0.7% of GDP, in the fourth quarter ended March 2026, as a rising gold import bill and foreign investor outflows weighed on external balances, according to data released by the Reserve Bank of India (RBI) on Monday.

This marks a notable decline from the surplus of \$13.7 billion, or 1.4% of GDP, recorded during the corresponding quarter of the previous financial year.

The moderation in the current account surplus reflects changing dynamics in India's external sector, with factors such as trade flows, services exports, remittances and investment income influencing the overall balance.

Despite remaining in surplus territory, the lower figure indicates a reduced contribution from external earnings compared to the year-ago period. FII outflows increased to \$12 billion in March 2026 quarter as against outflows of \$5.9 billion in the same period a year ago.

Gold import bill for the March 2026 quarter was \$22.57 billion and full year at \$71.97 billion as against \$9.5 billion and \$58 billion respectively in the previous year, RBI data says.

The RBI's latest data highlights the evolving balance of



Net services receipts rose to \$60.4 bn from \$53.3 bn a year ago, said RBI.

payments position amid global economic uncertainties, especially the West Asia crisis which started in late February, and shifting trade patterns, while underscoring the resilience of India's external sector.

However, in full year of 2025-26, India's current account deficit widened slightly to \$25.2 billion, equivalent to 0.6% of GDP, compared with \$22.9 billion (0.6% of GDP) in 2024-25.

Net invisibles receipts increased significantly to \$312.0 billion from \$264.0 billion in the previous year, driven mainly by higher net services earnings and stronger net personal transfer inflows, the cen-

tral bank said. Merchandise trade deficit at \$83.4 billion in Q4 of 2025-26 was higher than \$59.3 billion a year ago. Net services receipts increased to \$60.4 billion from \$53.3 billion a year ago, according to the RBI.

Services exports have risen on a year-on-year basis in major categories such as computer services and other business services. Net outgo on the primary income account, mainly reflecting payments of investment income, decreased to \$11.1 billion in Q4 of 2025-26 from \$11.9 billion in Q4 of last year, the RBI said.

Personal transfer receipts under secondary income account, mainly representing remittances by Indians employed overseas, rose to \$43.5 billion in the latest quarter from \$33.9 billion in Q4 of last year. In the financial account, foreign direct investment (FDI) recorded a net inflow of \$4.2 billion, higher than \$0.4 billion in March quarter of 2025.

Non-resident deposits (NRI deposits) recorded a net inflow of \$3.3 billion in the quarter higher than \$2.8 billion in Q4 of 2024-25.

Net inflows under external commercial borrowings (ECBs) to India amounted to \$3.6 billion in Q4 as compared to \$7.5 billion a year ago, the RBI said. Forex reserves increased by \$7.2 billion (on a BoP basis) in Q4 of 2025-26 as compared to an accretion of \$8.8 billion a year ago.

‘India-US deal only after Section 301 probe is over’

Ravi Dutta Mishra
New Delhi, June 8

INDIA AND US trade deal can be finalised only after US Section 301 probe comes to an end, a government official said, adding that New Delhi has sought assurance from Washington opens no further probes on the county after the trade deal is signed.

Commerce Minister Piyush Goyal last week said that India and the US will sign the "first tranche" of the bilateral trade deal by mid-July. The US has already proposed new Section 301 tariffs on 60 countries, which are expected to come into effect after July 7. Washington has set 12.5% tariffs on 54 countries, including India, China and 10% of six countries, such as Pakistan and the EU.

A results of probe on "excess capacity" is pending on India and 15 other countries. The outcome is expected in the coming weeks. And the Indian concession under the trade deal would be in exchange of the cumulative tariffs set as a result of the two probes.

However, under the Section 301 of the US Trade Act 1974, the US can announce other kind of restrictions beyond tariffs. Non tariff barriers can also restrict Indian exports to the US and signing a deal could mean giving up more control of sovereign trade policies to the US.

But the absence of the deal could accelerate the weakening of the domestic currency and flight of foreign capital that had begun since late last year.

The war in the Gulf region and higher oil prices have further weakened India's macroeconomic conditions. More tariffs could add to India's fiscal worries. The US team had come to India from June 2-4 for finalisation of the deal and US Trade Representative Jamieson Greer is expected to reach India later this month.

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